

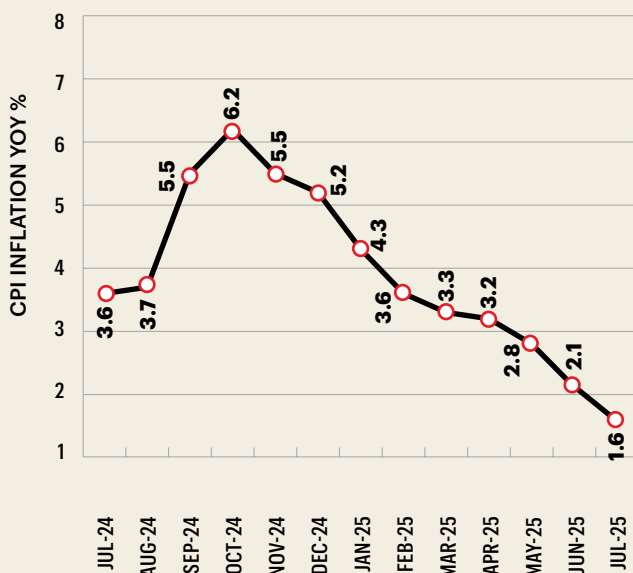
GROWTH ON FIRMER FOOTING

- The tariff hike by the US could lower GDP growth by 20 to 30 bps in FY26
- Economy seen to grow between 6%-6.5% this fiscal

AGENCY	% GROWTH YOY
Economic Survey	6.3-6.8
RBI	6.5
IMF	6.4
ADB	6.5
India Ratings and Research	6.3
ICRA	6.2
Bank of Baroda	6.4-6.4
Nomura	6.2
Fitch	6.3

INFLATION CONTINUES TO EASE

- Retail inflation remains on the downward trajectory
- Deceleration driven by softer food prices, core inflation a worry



newables. “But unless demand keeps increasing, chances of an across-the-board increase in private capex are slim,” he says.

As per the RBI, at the aggregate level, capacity utilisation in the manufacturing sector increased to 77.7% in the fourth quarter of FY25 from 75.4% in the previous quarter. Analysts believe this has to continue at 75-80% levels over an extended period before companies start investing.

In this scenario, companies are also cautious about hiring plans and the government’s push through the recently launched Employment Linked Incentive Scheme. Only 22% of respondents planned to hire more through this scheme, while 35% responded in the negative and 43% said it’s too early to comment on the impact of the scheme.

Banerjee of PwC India says hiring decisions are taken with a view of at least one-two years keeping in mind the planned capacity addition. “The ELI Scheme can work as a catalyst for companies that are indecisive on whether they wish to hire or not. Large-scale hiring just for accessing the ELI benefits is unlikely,” he says.

The recent large layoffs by IT giant TCS and low average salary hikes across industries are already keeping consumers on the edge.

CONSUMPTION BOOST

On RBI rate cuts, firms had mixed reactions. Only 23% believed they would improve consumption demand. But India Inc is more hopeful about the reduction in income tax rates announced in Union Budget FY26 and monsoon rains with 46% believing these would have a positive effect on consumption. Full transmission of the rate cuts is yet to take place. The RBI governor has also flagged this. However, lenders may reduce rates over the coming months, pushing up demand.

Nayar of ICRA says the outlook for domestic consumption appears largely resilient. “Rural demand is expected to be upbeat in the near term, aided by robust crop output over the last two cropping seasons as well as an encouraging outlook for *kharif* sowing in the ongoing fiscal aided by the India Meteorological Department’s prediction of an above-normal monsoon,” she says.